

Accounting Business and Society

–Accounting and Ethics

WEEK9

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Key concepts

- 01 Importance of ethics in Accounting
- 02 Principles of Ethical Conduct
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Importance of Ethics in Accounting

Why concerning Ethics in Accounting?...

- ☐ Ethics and Accounting do not often go together in the practice.
- ☐ Accountants might engage in 'unethical' behaviors for the interests of objectives representing ideal economic practice.
 - To maximize the firm profits
 - To reduce the costs for the firm
 - To improve the firm's bargaining position
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- ☐ The 2016 Fraud Barometer undertaken by Accounting firm KPMG shows the frauds committed by the employees and business management are rising significantly.
- ☐ **Grey areas in Accounting** : the acceptable, legal actions may not be ethical, or on rare occasions, ethical actions may not be legal!
 - E.g.: the choice of Depreciation method to maximize tax-savings



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Ethics & Enforcement in Accounting Profession

- ❑ **Ethics** is defined by Chartered Institute of Management Accountants (CIMA) as 'taking decisions for the right moral reasons, while considering the wider needs of all stakeholders'.
- ❑ The Accounting Professional and Ethical Standards Board (APESB) developed a robust set of ethical standards for accountants to adhere to.
- ❑ **APES section 100** : ' a Member's responsibility is not exclusively to satisfy the needs of an individual client or employer'.
 - The accountants should act in the best interest of the public.



Principles of Ethical Conduct

Professional and ethical standards for accountants – the APES 110 code of ethics

- ☐ The Accounting Professional and Ethical Standards Board (APESB) sets out the code of ethics and professional standards which members of CPA, ICAA and IPA must follow.
- ☐ This code is APES110.
- ☐ Penalties for breaching APES standards include loss of membership to professional bodies and possible prosecution if unethical conduct is also fraudulent and illegal. This code is APES110.



1. Integrity

110.1 The principle of integrity imposes an obligation on all Members to be **straightforward and honest** in professional and business relationships. Integrity also implies **fair dealing and truthfulness**.

110.2 A Member should **not be associated** with reports, returns, communications or other information where they believe that the information:

- (a) Contains a **materially false or misleading statement**;
- (b) Contains **statements or information furnished recklessly**; or
- (c) **Omits or obscures information required to be included** where such omission or obscurity would be misleading.



2. Objectivity

120.1 The principle of objectivity imposes an obligation on all Members not to compromise their professional or business judgement because of **bias, conflict of interest or the undue influence of others.**

120.2 A Member may be exposed to situations that may impair objectivity. It is impracticable to define and prescribe all such situations. Relationships that bias or unduly influence the professional judgment of the Member should be avoided.

- Basically, if you think you shouldn't, then don't!



3. Professional competence and due care

To maintain professional knowledge and skill at the level required to ensure that:

- (a) Clients or employers receive competent professional service; and
- (b) To act diligently in accordance with applicable technical and professional standards when providing their services.

130.2 Professional competence may be divided into two separate phases:

- (a) Attainment of professional competence; and
- (b) Maintenance of professional competence.

130.3 The maintenance of professional competence requires a continuing awareness and an understanding of relevant technical professional and business developments. Continuing professional development develops and maintains the capabilities that enable a Member to perform competently within the professional environments



4. Confidentiality

The principle of confidentiality imposes an obligation on Members to refrain from:

- (a) Disclosing outside the Firm or employing organisation confidential information acquired as a result of professional and business relationships without proper and specific authority from the Client or employer or unless there is a legal duty to disclose; and
- (b) Using confidential information acquired as a result of professional and business relationships to their personal advantage or the advantage of third parties.



5. Professional behaviour

- In marketing and promoting themselves and their work, Members should not bring the profession into disrepute. Members should be honest and truthful and should not:
 - (a) Make exaggerated claims for the services they are able to offer, the qualifications they possess, or experience they have gained; or
 - (b) Make disparaging references or unsubstantiated comparisons to the work of others.
- Members to comply with relevant laws and regulations and avoid **any action or omission that may bring discredit to the profession**. This includes actions or omissions which a reasonable and informed third party, having knowledge of all relevant information, would conclude negatively affects the good reputation of the profession.



Threats of Ethical Conduct

Professional and ethical standards for accountants – the APES 110 code of ethics

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- ❑ The APES are unique in that they identify situations accountants must be wary of.
- ❑ 'When a relationship or circumstance creates a threat, such a threat could compromise, or could be perceived to compromise, a Member's compliance with the fundamental principles. A circumstance or relationship may create more than one threat, and a threat may affect compliance with more than one fundamental principle.' (APES 100.12)
- ❑ **Five threats:**
 - Self interest
 - Self review
 - Advocacy
 - Familiarity
 - Intimidation



1. Self-Interest

- Accountants that place their personal gain at the expense of the broader organizational objectives put themselves in positions where they might act unethically.
- APES 110.12.a. defines self interest as '...the threat that a financial or other interest will inappropriately influence the Member's judgment or behavior'.
- Management accountants who are tasked with determining departmental budgets in their own departments might be tempted to request more costs and under-quote the volume of revenues being targeted, as it makes it easier for their department to achieve their financial indicators, possibly meaning a promotion or bonus salary payment for the accountant.



2. Self-Review

- The bias inherent in adjudging one's own work.
- The self review threat exists when '...a Member will not appropriately evaluate the results of a previous judgement made or service performed by the Member, or by another individual within the Member's Firm or employing organization, on which the Member will rely when forming a judgement as part of providing a current service' (APES 100.12 b.).
- It is natural that if evaluating our own work, or making judgements surrounding aspects of a decision that relates involved our prior contribution, we might be inclined to evaluate more loosely, without being as stringent as we ordinarily might.
- Such actions might be understandable, but are not ethical.



3. Advocacy

- Defined in APES 100.12 c. as 'the threat that a Member will promote a client's or employer's position to the point that the Member's objectivity is compromised'.
- Linked to self interest threat - an accountant might push the agenda of a related entity, as it furthers the positive perception of the accountant. Consider a management accountant in a firm being asked about the accuracy of the company's forecasts for an upcoming period. Even if the accountant thought the forecasts were optimistic, he might not say as much, or 'dance' around the issue vaguely.
- Does the accountant want to mislead the individual asking? Probably not, but the accountant seeks to 'talk up' the firm, so that the positive external perception of the firm by outside stakeholders might improve its market value, thus positively affecting the salary of the accountant. Such behaviour is therefore not ethically motivated.



4. Familiarity

- Exists when an accountant acts in way that benefits another individual or institution that is familiar to the accountant.
- Relates to the objectivity principle, in that the presence of familiarity in our dealings with another party can compromise our ability to act impartially, hence causing us to compromise our ethical choices.
- APES 100.12 d. defines this threat as 'the threat that a Member will promote a client's or employer's position to the point that the Member's objectivity is compromised'.
- By way of example, consider the accountant that has a long time friend working as a marketing executive in the same company. This might cause the accountant to create softer targets for the marketing department, so that her acquaintance in marketing might benefit.



5. Intimidation

- This threat is concerning, in that it might manifest as an unsafe or undesirable work environment for an accountant.
- Senior management might pressure an accountant to act unethically, such that the company benefits at the expense of the broader public interest.
- An accountant knows the behavior is unethical, but is pressured to do so by intimidation.
- APES 100.12 e. defines intimidation as 'the threat that a Member will be deterred from acting objectively because of actual or perceived pressure including attempts to exercise undue influence over the Member'.
- An interesting question to ask – if the victim of intimidation acts in a manner that is undesirable and illegal, because they felt intimidated, is that act unethical? A grey area...



Safeguards to the practice of Ethics in Organisations

Safeguards to counter threats?...

- ❑ Safeguards are measures that can be put in place to counter the threats, assuming the accountant considers that the threats will not compromise the member's adherence to any of the five principles.
- ❑ **APES 110** states that if the Member determines that the identified threats to compliance with the fundamental principles are not at an Acceptable Level The Member should apply safeguards to reduce the threats to Acceptable Level .



Safeguards by Profession, Legislation or Regulation

- ❑ Educational, training and experience requirements, whereby accountants undertake training in university, then professionally through a professional accounting body, and concurrently work in an accounting capacity while doing so.
- ❑ Continuing professional development (CPD) requirements, refers to the ongoing annual training that accountants must undertake in order to maintain their professional certification as a CA, CPA...
- ❑ Corporate governance regulations identify norms surrounding the proper management and direction with which senior officers are expected to discharge their duties when managing organizations.
- ❑ Professional standards, professional or regulatory monitoring and disciplinary procedures act as deterrents to accountants
- ❑ An external review by a legally empowered third party who independently judges the actions of an accountant or firm.



Safeguards created within a work environment

- ☐ Organization's own monitoring/oversight systems
- ☐ Organizational ethics and conduct programs
- ☐ Recruitment procedures - high caliber competent staff. Aligns strongly to ethical conduct.
- ☐ Strong internal controls
- ☐ Appropriate disciplinary processes
- ☐ Leadership - when leaders conduct themselves ethically, juniors follow suit
- ☐ Monitor the quality of employee performance. Not only observe employee performance, but how it was attained
- ☐ Timely communication of an organization's policies and procedures
- ☐ Senior management open to hearing ethical grievances (whistleblowing...)
- ☐ Consultation with another accountant member.



Assessment

Tutorial portfolio - Online quizzes:

This quiz is based on the week 9 learning materials. You may complete this anytime during week 9, you may use your study notes.

You have TWO attempts to complete this quiz.

Due time for your weekly quiz is on Canvas, please check it by yourself.